Thomas Financial - Form 10-K Extract (Fiscal 2023)

Item 1. Business

Thomas Financial is a financial company operating through three reportable segments: Payments,

Asset Management and Consumer Lending. Our principal executive offices are located in Salt Lake City, Utah. As of the end of fiscal 2023, we employed approximately 27,315 people worldwide. We sell to customers in more

than 39 countries and our strategy emphasises disciplined capital

allocation, operational excellence and organic growth.

Item 1A. Risk Factors

- We depend on third-party cloud providers; a prolonged outage could disrupt operations and damage customer relationships. Insurance coverage may not be sufficient to cover all losses arising from these risks. We have experienced such events in the past and expect to continue to face them.

- Intense competition could reduce our market share or force us to lower prices. The occurrence of any of these events could have a material adverse effect on our business, financial condition and results of operations. We monitor this exposure through our enterprise risk management framework and report it to the Audit Committee each quarter.

- Supply-chain disruptions may delay product shipments and increase input costs. Insurance coverage may not be sufficient to cover all losses arising from these risks. The occurrence of any of these events could have a material adverse effect on our business, financial condition and results of operations.

- Our indebtedness could limit our flexibility in planning for or reacting to changes in our business. Insurance coverage may not be sufficient to cover all losses arising from these risks. The occurrence of any of these events could have a material adverse effect on our business, financial condition and results of operations.

- Our international operations expose us to foreign-exchange volatility, sanctions regimes and differing tax laws. We have experienced such events in the past and expect to continue to face them. Regulators in several jurisdictions have increased their scrutiny of this area, which could raise our compliance costs.

- Cybersecurity incidents could result in the loss of confidential data, regulatory penalties and reputational harm. The occurrence of any of these events could have a material adverse effect on our business, financial condition and results of operations. Although we maintain mitigation plans, there can be no assurance that these measures will be effective in all circumstances.

- Acquisitions may not deliver the expected synergies and could divert management attention. Although we maintain mitigation plans, there can be no assurance that these measures will be effective in all circumstances. The occurrence of any of these events could have a material adverse effect on our business, financial condition and results of operations.

Item 2. Properties

We own or lease manufacturing, distribution, research and office facilities in North America, Europe and Asia. We believe our facilities are suitable and adequate for our current needs and that additional space can be obtained on commercially reasonable terms if required.

Item 3. Legal Proceedings

From time to time we are party to litigation, claims and regulatory proceedings arising in the ordinary course of business. While the outcome of these matters is inherently uncertain, management does not currently expect them to have a material adverse effect on our consolidated financial position.

Item 7A. Quantitative and Qualitative Disclosures About Market Risk

We are exposed to market risks from changes in interest rates, foreign-currency exchange rates and commodity prices. We use derivative instruments, principally interest-rate swaps and foreign-currency forwards, to manage these exposures, and we do not enter into derivatives for speculative purposes. A hypothetical 100 basis point increase in interest rates would not have a material effect on our interest expense given the predominantly fixed-rate nature of our

borrowings.

Item 7. Management's Discussion and Analysis

Total revenue for fiscal 2023 was $46,584 million, a decrease of 5.0 percent compared with the prior year. Operating margin was 20.0 percent and net income was

$6,925 million. The Payments segment was our largest, contributing $24,280 million of revenue.

Segment revenue:

- Payments: $24,280 million
- Asset Management: $18,101 million
- Consumer Lending: $4,204 million

Results reflected volume growth partly offset by

foreign-exchange headwinds.

Liquidity and Capital Resources

Long-term debt totalled $34,170 million, and cash and cash equivalents were $15,259 million. Capital expenditures were $2,041 million, primarily for capacity expansion and technology infrastructure. The Board declared total dividends of $0.48 per share and authorised a $2,890 million share repurchase programme. We believe

existing cash, operating cash flow and our revolving credit facility will be sufficient to

fund operations for at least the next twelve months.